Type MS · Multinationals and globalisation

Answer 1 of 12 · Question 2 part d · 3 marks

2021 NOV · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason for *Huawei* paying its employees above the minimum wage in the context of the business. • Employees are more likely to stay with *Huawei* and not move to a competitor such as Samsung to earn additional money **(1)** • Employees are less likely to take time off from making smartphones if they are paid well and will stay more committed to *Huawei* **(1)** • **Accept any other appropriate response.**	**(1)**

Question Number	State **one** possible reason why *Huawei* would want to keep its customers loyal to its brand. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *Huawei* would want to keep its customers loyal in the context of the business. • Loyal customers will return to *Huawei* when they need to upgrade their smartphones **(1)** • *Huawei* want its customers to return and purchase other products such as its tablets **(1)** **Accept any other appropriate response.**	**(1)**

4BS1 02 November 2021

Type MS · Multinationals and globalisation

Answer 1 of 12 · Question 2 part d · 3 marks

2021 NOV · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** reason why having good public relations is important to a business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark why good public relations is important to a business, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By a business having good public relations means it is likely to improve its brand image **(1).** This could lead to increased sales and **(1)** overall profitability **(1)** NB No marks are awarded for a definition. Answers that list three reasons why good public relations are important to a business with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** benefit of being a multinational business. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a benefit of being a multinational business, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Multinationals operate globally **(1).** So, if the sales are low in one country this can be offset by high sales in another country **(1)** thus, thereby spreading the risk for the business **(1)** NB Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

4BS1 02 November 2021

Type MS · Multinationals and globalisation

Answer 1 of 12 · Question 2 part d · 3 marks

2021 NOV · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** reason why secondary research would be used by a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why secondary research would be of interest to a business, plus 2 further marks for explaining why it would be of interest to a business, for a maximum of 3 marks. • Secondary research already exists and is available **(1)** this can save a business a great deal of time and effort in collecting such information **(1).** The information can then be used to help the business to further develop its products or gain information on other businesses **(1)** NB Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

4BS1 02 November 2021

Type MS · Multinationals and globalisation

Answer 1 of 12 · Question 2 part d · 3 marks

2021 NOV · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	**Option 1:** financial **Option 2:** non-financial. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By offering financial methods to its employees such as bonus payments, piece rates, employees will remain productive • **Option 2** – If *Huawei* offers non-financial benefits such as job enrichment employees are more likely to enjoy working at the *Huawei* and feel motivated **AO3** • **Option 1** – Employees are more likely to stay with *Huawei* than move to another business • **Option 2** – Employees will gain new skills and feel valued by *Huawei*, which may help them gain promotion such as becoming a supervisor of a group of staff assembling tablets or watches **AO4** • **Option 1** – However, employees may not be interested in bonus payments if they are assembling tablets and they do not meet the targets set therefore not getting the additional wage • **Option 2** – However, not all employees are motivated by non-financial methods of motivation such as job enrichment, they may prefer to remain producing smartphones and would prefer to have additional wages in their payslips so that they can pay their bills	**(9)**

4BS1 02 November 2021

Type MS · Multinationals and globalisation

Answer 1 of 12 · Question 2 part d · 3 marks

2021 NOV · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Multinationals and globalisation

Answer 1 of 12 · Question 2 part d · 3 marks

2021 NOV · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Define the term **revenue**. **Answer**	Mark

Type MS · Multinationals and globalisation

Answer 2 of 12 · Question 3 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

3 (a)	**AO1 = 1 mark** Award 1 mark for a correct definition of multi-national business. • A business that is operational in more than one country **(1)**. Accept any other appropriate response.	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 = 2 marks** • It means that the revenue from *Yellow* **(1)** can help out the other businesses in the group **(1).** • It could increase *Yellow*'s brand awareness **(1)** which as result more customers would be interested in the clothing industry **(1).** NB Do not accept reasons that would not be appropriate for the context of *BEXIMCO*. Accept any other appropriate response.	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**AO2 = 2 marks** 10.68/147.5 x 100 **(1)** = 7.24 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for if correct numerical answer without working.	**(2)**

Type MS · Multinationals and globalisation

Answer 2 of 12 · Question 3 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • All demographics need to buy clothing. • Covering a range of clothing spreads the risk. **AO3** • By selling to all demographics , *Yellow* will have a larger number of customers. • If sales of children's clothing is not as good it can be compensated by sales from teenage clothing.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Multinationals and globalisation

Answer 2 of 12 · Question 3 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By adding additional tasks such as supervising newly recruited employees. • **Option 2** – Employees could rotate from working in the store with customers or in the back room with the stock. **AO3** • **Option 1** -The employee will gain the experience of the new tasks and feel appreciated by the business. The member of staff will then feel more committed to the business. • **Option 2** - By using job rotation it distracts from the boredom of doing one job, e.g. unpacking items to put on shelves to creating displays in the store. It helps the managers if staff are able to move from one job to another at busy times. **AO4** • **Option 1** - *Yellow* will benefit from the employee being able to carry out different tasks, but there may come to a point where they demand more pay. • **Option 2** – This could incur cost of time and training of the employee who then might use their new skills to seek another job.	**(9)**

Type MS · Multinationals and globalisation

Answer 2 of 12 · Question 3 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Multinationals and globalisation

Answer 2 of 12 · Question 3 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Multinationals and globalisation

Answer 3 of 12 · Question 1 part c · 1 mark

2020 NOV · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is B - Shares are traded on the stock exchange** A is not correct because a plc is not controlled by the government C is not correct because a plc can have more than 50 shareholders D is not correct because there is no restriction in transfer of shares	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is C – Finance** A is not correct because Human resources looks after people B is not correct because Marketing identifies customers' needs D is not correct because Production is making goods	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is A - 12.5%** B is not correct because Total equals £1 200 000 and 20.8% - Business 4 C is not correct because 25% = £300 000 – Business 1 D is not correct because 29.2% = £350 000 – Business 5	**(1)**

Type MS · Multinationals and globalisation

Answer 3 of 12 · Question 1 part c · 1 mark

2020 NOV · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is B - More funds taken out than are in the account** A is not correct because borrowing regular amounts is a loan C is not correct because money lent by many people is 'just giving' D is not correct because a loan for repayment is a loan	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is D - 2.53%** A is not correct because calculation worked out on Cash assets not Total assets B is not correct because percentage correct but not minus calculation wrong way round C is not correct because calculation worked out using 2016-2017 figure not 2015-2016 figure	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO1 = 1 mark** **The only correct answer is C - Job description** **A** is not correct because a Business plan is not in recruitment **B** is not correct because Induction training is after recruitment **D** is not correct because Job enrichment is after recruitment	**(1)**

Type MS · Multinationals and globalisation

Answer 3 of 12 · Question 1 part c · 1 mark

2020 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of social enterprise. • A business whose profits are used to benefit it and the community (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of globalisation. • Companies operating internationally across the world (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason why *Emirates* uses competition pricing in the context of the business. • To attract more people to fly with *Emirates* and not its competitors (1). • As *Emirates* flies to 180 destinations consumers do not find it necessary to choose other airlines (1). **Accept any other appropriate response.**	**(1)**

Type MS · Multinationals and globalisation

Answer 3 of 12 · Question 1 part c · 1 mark

2020 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 26 – 30 (1) = –4 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • One factor is called a hygiene factor (1) workers can become demotivated (1) if hygiene factors such as pay are not met (1). • The other factor is motivator (1) employees gain achievement in their job (1) which allows then to grow and develop (1). Answers that list two factors with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Multinationals and globalisation

Answer 3 of 12 · Question 1 part c · 1 mark

2020 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Comparison of finances from different routes can be made from year to year. *Emirates* can make decisions on whether routes continue. **AO3** • Decisions can then be made whether to reduce costs or change certain strategies. • The figures can also inform *Emirates* what action it might need to take in coming years.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Multinationals and globalisation

Answer 3 of 12 · Question 1 part c · 1 mark

2020 NOV · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Multinationals and globalisation

Answer 4 of 12 · Question 3 part a · 1 mark

2024 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **multinationals** • A business that operates in more than one country **(1)**	**(1)**

Q. No.	Outline **one** reason why *TUI* offers employees working in its travel agencies a commission based on the number of holidays they sell. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *TUI* offers employees working in its travel agencies, a commission based on the number of holidays they sell plus 1 further mark for linking it to the context of the business. • An employee will work harder to sell *TUI*'s cruises and extensions to holidays **(1)** because the more they sell the more commission they will receive **(1)** **NB** Do not accept a reason that is not in the context of *TUI*. **Accept any other appropriate response.**	**(2)**

Q. No.	Calculate, to **two** decimal places, the current ratio for *TUI* for 2022. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**A02 - 2 marks** 7 758 152 ÷ 5 654 468 **(1)** = 1.37 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Type MS · Multinationals and globalisation

Answer 4 of 12 · Question 3 part a · 1 mark

2024 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Q. No.	Analyse the effect on *TUI* customers of an increase in interest rates. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers may have less to spend on holidays and cruises if interest rates increase • Some customers on holiday may not book additional trips or excursions offered by *TUI* **AO3** • This could lead to a reduction in customers booking holidays or going to travel agencies of *TUI* competitors • This could lead to *TUI* having to reduce or cancel trips, which reduces its income	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Multinationals and globalisation

Answer 4 of 12 · Question 3 part a · 1 mark

2024 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Q. No.	**Option 1:** using the internet **Option 2:** asking customers to complete a questionnaire. Justify which **one** of these two options *TUI* should use. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *TUI* could use the internet to view a wide variety of customers comments made about their experiences and service received whilst on holiday in Greece • **Option 2** – Customers can take their time completing the form giving details of the experiences/services they received whilst taking part in a day trip around Rome **AO3** • **Option 1** – By using the internet it does reduce the time spent researching and is less costly than other methods available • **Option 2 –** Thus giving *TUI* detailed information of their trip and possible ways to improve it **AO4** • **Option 1** – However, *TUI* could spend a great deal of time looking at information which is not relevant to them or is out of date, or even places they do not offer holidays to • **Option 2** – However, not all customers may want to complete the questionnaires so there may be less data to use	**(9)**

Type MS · Multinationals and globalisation

Answer 4 of 12 · Question 3 part a · 1 mark

2024 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Multinationals and globalisation

Answer 4 of 12 · Question 3 part a · 1 mark

2024 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the percentage increase in the cost of the employees from 2021 to 2022. **Answer**	Additional Guidance	Mark

Type MS · Multinationals and globalisation

Answer 5 of 12 · Question 3 part b · 2 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

3 (a)	**AO1 = 1 mark** Award 1 mark for a correct definition of multi-national business. • A business that is operational in more than one country **(1)**. Accept any other appropriate response.	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 = 2 marks** • It means that the revenue from *Yellow* **(1)** can help out the other businesses in the group **(1).** • It could increase *Yellow*'s brand awareness **(1)** which as result more customers would be interested in the clothing industry **(1).** NB Do not accept reasons that would not be appropriate for the context of *BEXIMCO*. Accept any other appropriate response.	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**AO2 = 2 marks** 10.68/147.5 x 100 **(1)** = 7.24 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for if correct numerical answer without working.	**(2)**

Type MS · Multinationals and globalisation

Answer 5 of 12 · Question 3 part b · 2 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • All demographics need to buy clothing. • Covering a range of clothing spreads the risk. **AO3** • By selling to all demographics , *Yellow* will have a larger number of customers. • If sales of children's clothing is not as good it can be compensated by sales from teenage clothing.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Multinationals and globalisation

Answer 5 of 12 · Question 3 part b · 2 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By adding additional tasks such as supervising newly recruited employees. • **Option 2** – Employees could rotate from working in the store with customers or in the back room with the stock. **AO3** • **Option 1** -The employee will gain the experience of the new tasks and feel appreciated by the business. The member of staff will then feel more committed to the business. • **Option 2** - By using job rotation it distracts from the boredom of doing one job, e.g. unpacking items to put on shelves to creating displays in the store. It helps the managers if staff are able to move from one job to another at busy times. **AO4** • **Option 1** - *Yellow* will benefit from the employee being able to carry out different tasks, but there may come to a point where they demand more pay. • **Option 2** – This could incur cost of time and training of the employee who then might use their new skills to seek another job.	**(9)**

Type MS · Multinationals and globalisation

Answer 5 of 12 · Question 3 part b · 2 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Multinationals and globalisation

Answer 5 of 12 · Question 3 part b · 2 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B** Social **A** - is incorrect as esteem is level 4 **C** - is incorrect as safety is level 2 **D** - is incorrect as basic is level 1	**(1)**

Question Number	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** Venture capital **A** - is incorrect as personal savings is an internal source of finance **B** - is incorrect as retained profit is an internal source of finance **C** - is incorrect as selling assets is an internal source of finance	**(1)**

Question Number	Which **one** of the following is the closing balance for the end of the month? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **B** -£8 000 **A** - is incorrect as -£28 000 because cash inflow of £28 000 minus cash outflow of 56 000 **C** - is incorrect as £48 000 because it is the opening balance of as £20 000 plus the cash inflow of £28 000 **D** - is incorrect as £84 000 because it is the cash inflow of £28 000 plus the cash outflow of £56 000	**(1)**

Type MS · Multinationals and globalisation

Answer 6 of 12 · Question 1 part f · 3 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Which **one** of the following is a reason why governments raise tax rates? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **A** To raise revenue to fund government expenditure **B** - is incorrect as raising taxes would put off multinationals from investing **C** - is incorrect as to higher taxes would reduce demand in the economy **D** - is incorrect as this would increase unemployment if income tax increases	**(1)**

Question Number	What would be the number of tractors sold in February 2021? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **C** 322,898 **A** - is incorrect because 253,706 is 288,302 minus 12% **B** - is incorrect because 300,302 = 288,302 + 12, 000 **D** - is incorrect because 322,910 = 288,302 + 34,596 +12	**(1)**

Question Number	Which **one** of the following market research methods would the shop owner use? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **B** Primary research **A** - is incorrect as market segment is not market research **C** - is not correct as research and development as it is not market research **D** - is not correct as secondary research is data that has already been collected	**(1)**

Type MS · Multinationals and globalisation

Answer 6 of 12 · Question 1 part f · 3 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Define the term **public corporation.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of public corporation. • A business owned and controlled by the state/government **(1)**	**(1)**

Question Number	Define the term **qualitative market research.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of qualitative market research. • Information about attitudes, beliefs and intentions **(1)**	**(1)**

Type MS · Multinationals and globalisation

Answer 6 of 12 · Question 1 part f · 3 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 7 · find part f in this mark scheme extract

Question Number	State **one** reason why it is important for *M&M* to motivate its employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why it is important for *M&M* to motivate its employees in the context of the business. • *M&M* motivating its employees means they will work harder and take a pride in building tractors **(1)** • More motivated employees might be willing to accept new working practices after training such as the introduction of robots on the production line **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places, the percentage increase from 2019 to 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 900 – 448 = 452 **(1)** 452/448 x 100 = 100.89 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Multinationals and globalisation

Answer 6 of 12 · Question 1 part f · 3 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** advantage of becoming a multinational business. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of a business becoming a multinational plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • A multinational business has a global supplier base **(1)** that is able to supply a range of components/products **(1)** and this could increase revenue **(1)** • Multinationals operate in many different countries **(1)** this makes the movement of products easier **(1)** as trade barriers are reduced **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Multinationals and globalisation

Answer 6 of 12 · Question 1 part f · 3 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 7 · find part f in this mark scheme extract

Question Number	Analyse the disadvantages to *M&M* of using social media. **Indicative content**	**Mark**
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Negative comments can be put on social media about the quality of *M&M*'s tractors • Not everyone has or uses social media, so there is no guarantee that they would see advertisements about new cars that *M&M* have made **AO3** • The comments could be made by a disgruntled customer and the comments might not be true • This could mean that a number of potential customers might not see the advertisements and would then not be able to buy the new cars	**(6)**

Type MS · Multinationals and globalisation

Answer 6 of 12 · Question 1 part f · 3 marks

2023 JUN · Paper 02 (regional R) · extract 7 of 7 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Question Number	State **one** non-financial objective for *M&M*. **Answer**	**Mark**

Type MS · Multinationals and globalisation

Answer 7 of 12 · Question 2 part c · 3 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for the identification of a valid method *AWG* could use to motivate its employees • The business could use job rotation so employees make not only jumpers but shirts as well **(1)** **NB** Do not accept a method that is not in the context of *AWG* **Accept any appropriate response.**	**(1)**

Question Number	State **one** task of an *AWG* employee working in the human resources department. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for the identification of a valid task of an *AWG* employee working in the human resources department • *The AWG* employee working in the human resources department may be responsible for arranging the training of new employees to use the sewing machines **(1)** **NB** Do not accept a task that is not in the context of *AWG* **Accept any appropriate response.**	**(1)**

Type MS · Multinationals and globalisation

Answer 7 of 12 · Question 2 part c · 3 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** benefit of globalisation to a small business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit of globalisation to a small business, plus 2 further marks for explaining this benefit, for a maximum of 3 marks. • A small business can reach a larger audience of customers **(1)** because it can sell its products into new countries **(1)** leading to increased revenue and profitability for the business **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Question Number	Explain **one** method of below-the-line promotion a business may use to retain its customers. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a method of below-the-line promotion a business could use, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Existing customers may be offered sales promotions/discounts **(1)** with the aim of enticing customers to buy at a lower price **(1)** and therefore encourage repeat sales by its customers **(1)** **NB** Answers that list three methods with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Multinationals and globalisation

Answer 7 of 12 · Question 2 part c · 3 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** benefit to a business of using market segmentation to target its customers. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit to a business of using market segmentation to target its customers, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • To identify customers with similar characteristics **(1)** in order to develop a product or service which meets those customers' needs **(1)** leading to an increase in sales and consumer loyalty **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Multinationals and globalisation

Answer 7 of 12 · Question 2 part c · 3 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	It is considering two options: **Option 1:** use venture capital to open new stores **Option 2:** start offering franchises. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – A venture capitalist may provide the funds to build the new stores to sell the jumpers • **Option 2** – A franchisee will pay *AWG* a fee for the right to sell its baby clothes **AO3** • **Option 1** – As well as providing the funds the venture capitalist may also have knowledge of the needs of Icelandic customers • **Option 2** – This method would allow *AWG* to increase its revenue from fees paid by the franchisee **AO4** • **Option 1** – However, the venture capitalist may want to take some control of the business and interfere with the decision making and objectives of the business • **Option 2** – However, *AWG* are reliant on the franchisee running the business well and not causing bad publicity for *AWG* which might impact its brands reputation	**(9)**

Type MS · Multinationals and globalisation

Answer 7 of 12 · Question 2 part c · 3 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Multinationals and globalisation

Answer 7 of 12 · Question 2 part c · 3 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Define the term **job production.** **Answer**	Mark

1 (a) (i)	**AO1 - 1 mark** **C** Cash flow A – a mortgage is a loan B – break-even does not show money in and out of a business – it is the point at which total costs and revenue are the same D – Profit and loss – profit is money left after sales and loss is when there is less money made than it cost	**(1)**

Question Number	Which **one** of the following could a person complete when applying for a job? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **A** Application form B – Shortlisting is the process of deciding which applicants to interview C – Job description gives of the job for which applicants can apply D Person specification gives details of the type of person required for the job	**(1)**

Question Number	Which **one** of the following is the correct statement? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** Loss of 550 000 A – Total costs has incorrectly been calculated using revenue + variable costs + fixed costs B – Cash inflow has incorrectly been calculated by doing variable costs minus fixed costs D – Profit is incorrect as this calculates revenue minus variable costs	**(1)**

Type MS · Multinationals and globalisation

Answer 8 of 12 · Question 1 part g · 6 marks

2022 JUN · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following is a benefit of being a franchisee? **Answer**	**Mark**
1 (a)(iv)	**AO1 - 1 mark** **B** Selling an established brand A – You cannot choose your own suppliers as a franchise C – You would still have to pay interest on any bank loans whether a franchisee or not D – You do not have complete control of the business if you are a franchisee the franchisor does	**(1)**

Question Number	Which **one** of the following is the percentage increase from 2019 to 2020? **Answer**	**Mark**
1 (a) (v)	**AO2 - 1 mark** **D** 6% A – is 2.31 ÷ 38.5 = 0.06% B – is 40.81 ÷ 38.5 = 1.06% C – is 40.81 – 38.5 = 2.31%	**(1)**

Question Number	Which **one** of the following functional areas could help employees who had a problem with their wage? **Answer**	**Mark**
1 (a)(vi)	**AO1 - 1 mark** **B** Finance A – Production is making goods C – Marketing is about identifying, anticipating and satisfying customer requirements profitably D – Sales is selling the goods to customers	**(1)**

Type MS · Multinationals and globalisation

Answer 8 of 12 · Question 1 part g · 6 marks

2022 JUN · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Define the term **break-even**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **break-even**. • When costs and revenue are the same **(1)** • When total costs are the same as total sales **(1)**	**(1)**

Question Number	Define the term **public corporation**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **public corporation** • Owned by the state/central government **(1)**	**(1)**

Question Number	State **one** benefit for *LEGO* of having a short span of control. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid benefit for having a short span of control in the context of the business. • By reducing the levels communication between the managers of the 15 factories and the Danish HQ could lead to fewer mistakes **(1)** • Allows all 18,000 world-wide employees to make suggestions about the new products **(1)** **NB** Do not accept a benefit that is not in the context of LEGO. **Accept any other appropriate response**	**(1)**

Type MS · Multinationals and globalisation

Answer 8 of 12 · Question 1 part g · 6 marks

2022 JUN · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Calculate, to two decimal places, the cost of making the pineapple pencil holders. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 148 ÷ 115 = 1.287 **(1)** 1.287 × 100 = 128.70 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage of using questionnaires as a method of market research. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage of using a questionnaire, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • If the questionnaire is too long **(1)** people may be reluctant to complete them **(1)** and may not give true answers **(1)** • If there are too many questions then people may not focus properly **(1)** and this could result in a low rate of return **(1)** therefore not giving the information required **(1)** NB No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get a 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Multinationals and globalisation

Answer 8 of 12 · Question 1 part g · 6 marks

2022 JUN · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Question Number	Analyse the benefits for *LEGO* of being a multinational business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *LEGO* can sell its Harry Potter toys around the world • The arts and craft materials can be produced in the most cost-effective location for *LEGO* **AO3** • This means that *LEGO*'s global market will increase compared to rivals • Thus reducing the average total cost and leading to a larger profit margin	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Multinationals and globalisation

Answer 8 of 12 · Question 1 part g · 6 marks

2022 JUN · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	State **one** financial objective for *LEGO*. **Answer**	**Mark**

4 (a)	**AO2 - 2 marks** **1.14 (2)** If correct answer not given then award workings as follows: 12 – 4 = 8 **(1)** 8/7 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the benefits for *Saha* of becoming a multinational business. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • As a multinational, *Saha* would manufacture its robots for hotels and restaurants in other continents of the world • *Saha* could benefit from producing robots to help with cleaning and shopping for the home to a wider target market **AO3** • *Saha* may benefit from economies of scale by producing a higher number of robots which may lower its average unit costs and improve its competitiveness • Which could increase the number of robots sold and the profitability of *Saha*	**(6)**

Type MS · Multinationals and globalisation

Answer 9 of 12 · Question 4 part b · 6 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Multinationals and globalisation

Answer 9 of 12 · Question 4 part b · 6 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Evaluate the effects on *Saha* of introducing Total Quality Management (TQM) to its business. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • TQM should ensure that the robots are manufactured without any faults • TQM involves training every employee in quality assurance to reduce waste and costs **AO2** • If the robots are subject to quality checks throughout the production process, they should be delivered to the restaurants with no defects • Successful training of each employee should lead to a reduction in waste in the production of the new robots build for the home **AO3** • This may improve the reputation of *Saha* and attract more customers to buy the robots, increasing the revenue for its business • Trained employees who are focussed on quality should result in zero defects of robots to ensure Saha meets their objective of making the robots long lasting **AO4** • However, TQM involves disruption to the manufacturing facility as new processes are introduced which could cause delays /late deliveries of robots to the hotels and hospital customers • However, the cost of training all employees in TQM takes time and is costly which could reduce profitability in the short term and increase the price of the robots making *Saha* uncompetitive in the robot market	**(12)**

Type MS · Multinationals and globalisation

Answer 9 of 12 · Question 4 part b · 6 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Multinationals and globalisation

Answer 9 of 12 · Question 4 part b · 6 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Multinationals and globalisation

Answer 9 of 12 · Question 4 part b · 6 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

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Type MS · Multinationals and globalisation

Answer 10 of 12 · Question 1 part g · 6 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D Raw materials** **A** – is not the correct answer as insurance is a one-off payment **B** - is not the correct answer as rent is also a fixed cost for a period of time **C** - is not the correct answer as salaries are the same for a certain period	**(1)**

Q. No.	Which **one** of the following is a type of discrimination protected by employee legislation? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Age** **A** – is not the correct answer as political is not protected by employee legislation **B** - is not the correct answer as ethical is not protected by employee legislation **D** - is not the correct answer as promotion is not protected by employee legislation	**(1)**

Type MS · Multinationals and globalisation

Answer 10 of 12 · Question 1 part g · 6 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Q. No.	Which **one** of the following is the price of buying both items with the promotional discount? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B – £150.48** **A** – is not the correct answer as £129.96 is the cost with 24% discount **C** - is not the correct answer as £160.80 is the cost with the discount only applied to one item **D** - is not the correct answer as £171.00 is the cost of the items without a discount	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C - It is more up to date method of research** **A** – is not the correct answer as it is more expensive than other types of market research **B** – is not the correct answer as it is more time-consuming than other market research methods **D** - is not the correct answer as it is not only carried out by market-research agencies	**(1)**

Type MS · Multinationals and globalisation

Answer 10 of 12 · Question 1 part g · 6 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Q. No.	Which **one** of the following is the closing balance for this month? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B – €96 000** **B** – is not the correct answer as €88 000 is cash inflow plus cash outflow **C** – is not the correct answer as €110 000 is opening balance plus cash outflow **D** - is not the correct answer as €130 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is a likely effect of this change for American businesses? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is A – higher loan repayments** **B** – is not the correct answer as the change in interest rates does not affect labour costs **C** – is not the correct answer as the change in interest rates will not improve net cash flow **D** - is not the correct answer as there is no guarantee of an increase in sales	**(1)**

Q. No.	Define the term **autonomy**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Giving employees the authority to make choices about the way they work **(1)**	**(1)**

Type MS · Multinationals and globalisation

Answer 10 of 12 · Question 1 part g · 6 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Q. No.	Define the term **qualitative data**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **qualitative data**. • Data relating to attitudes, beliefs and intentions **(1)**	**(1)**

Q. No.	State **one** reason why *Rabanne* may use test marketing when introducing a new product. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Rabanne* may use test marketing when introducing a product in the context of the business • *Rabanne* uses test marketing to see if the new perfume they want to introduce is something that customers are likely to buy **(1)** • If the aftershave is not liked, then *Rabanne* can make adjustments before it is launched **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. Accept any appropriate response	**(1)**

Q. No.	Calculate, to **two** decimal places, the price of the handbag in US dollars. You are advised to show your working. **Answer**	**Additional Guidance**	Mark
1 (e)	**A02 - 2 marks** = 1 709.68 **(2)** **OR** 1 590 ÷ 0.93 = **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Multinationals and globalisation

Answer 10 of 12 · Question 1 part g · 6 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Q. No.	Explain **one** reason why an employer might use a letter to communicate with an employee. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why an employer might use a letter to communicate with an employee, plus 2 further marks, for a maximum of 3 marks. • Letters are private way of communicating **(1)** a job offer/promotion/suspension/redundancy with an employee **(1)** to confirm the next stage in the process **(1)** • Letters are a formal way of communication **(1)** as it portrays a professional image for the business **(1)** and is personal to an employee **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Analyse **two** benefits to *Rabanne* of being a global business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *Rabanne* is a global business its perfume can be sold throughout the world • Being global gives *Rabanne* access to a variety of employees who have the skills and knowledge to create different fragrances for men and women **AO3** • Giving it access to a wider range of people who can purchase its products more easily • Providing a variety of skills and talents to help create and sell its products	**(6)**

Type MS · Multinationals and globalisation

Answer 10 of 12 · Question 1 part g · 6 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Q. No.	State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities. **Answer**	Mark

4 (a)	**AO2 - 2 marks** 1 984/6 554 x 100 **(1)** = 30.27 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the benefits to countries where *Kraft Heinz* is located. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • A country benefits from a *Kraft Heinz* factory as it provides employment on baked beans production lines • A country benefits from increased tax revenue generated by the employees at the factories and corporation tax from *Kraft Heinz* **AO3** • Skilled employees do not have to leave their homeland to gain a job with prospects and therefore reducing the migration of skilled workers • This also provides the country with funds to pay for public services and infrastructure	**(6)**

Type MS · Multinationals and globalisation

Answer 11 of 12 · Question 4 part b · 6 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Multinationals and globalisation

Answer 11 of 12 · Question 4 part b · 6 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Evaluate the importance to *Kraft Heinz* of using a variety of different methods to advertise to its target customers. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • By using a variety of different methods such as television advertisement, attracts a variety of different people • *Kraft Heinz* could use posters or billboards to advertise its products **AO2** • The Ed Sheeran advertisement will attract a younger person who is keen on his music and would therefore want to try the tomato sauce • A poster advertising a new variety of baked beans could be displayed in towns and cities **AO3** • They will have been encouraged to try it because someone famous has used it and they would want to follow • A poster is good for a short sharp message which will be seen repeatedly by people as they pass by **AO4** • However, there is no guarantee that sales are going to increase just because a pop star has been in an advertisement • However, posters can get damaged and it is difficult to evaluate their effectiveness	**(12)**

Type MS · Multinationals and globalisation

Answer 11 of 12 · Question 4 part b · 6 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Multinationals and globalisation

Answer 11 of 12 · Question 4 part b · 6 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Multinationals and globalisation

Answer 11 of 12 · Question 4 part b · 6 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

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Type MS · Multinationals and globalisation

Answer 12 of 12 · Question 1 part g · 6 marks

2024 NOV · Paper 02 · extract 1 of 8 · find part g in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D –** When total costs and total revenue are the same **A** – is not the correct answer as fixed and variable costs would not break-even **B** – is not the correct answer as total costs and fixed costs would not break-even **C** – is not the correct answer as fixed costs and total revenue would not break-even	**(1)**

Question Number	Which **one** of the following is a benefit to a franchisee? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is B –** The franchisee is given support from the franchisor **A** – is not the correct answer as the franchisee can only buy from the franchisor **C** – is not the correct answer as the wage will depend on sales made **D** – is not the correct answer as it is the franchisor who has total control	**(1)**

Type MS · Multinationals and globalisation

Answer 12 of 12 · Question 1 part g · 6 marks

2024 NOV · Paper 02 · extract 2 of 8 · find part g in this mark scheme extract

Question Number	Which **one** of the following is an advantage of job production when compared to other methods of production? **Answer**	Mark
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is A** – Workers will be better motivated **B** – is not the correct answer as production speeds will be slower **C** – is not the correct answer as the unit costs will be different for each product made **D** – is not the correct answer as more training will be needed for job production	**(1)**

Question Number	Which **one** of the following would be the total amount paid by a customer for a room? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is D –** 406.25 **A** – is not the correct answer as 81.25 is 25% of the 325 **B** – is not the correct answer as 243.75 is 325 minus 81.25 **C** – is not the correct answer as 350 is 325 plus 25	**(1)**

Type MS · Multinationals and globalisation

Answer 12 of 12 · Question 1 part g · 6 marks

2024 NOV · Paper 02 · extract 3 of 8 · find part g in this mark scheme extract

Question Number	Which **one** of the following is the percentage increase in revenue from 2021 to 2022. **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C –** 209.62% **A** – is not the correct answer as 5.23% is 772.80 – 249.60 = 523.20/100 **B** – is not the correct answer as 67.70% is 772.80 – 249.60 = 523.20/772.80 x 100 **D** – is not the correct answer as 523.20% is 772.80 – 249.60	**(1)**

Question Number	Which **one** of the following is an internal source of finance for a business? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** **The only correct answer is C –** Personal savings is the only correct answer **A** - is not the correct answer as Crowdfunding is an external source of finance **B** – is not the correct answer as Loan capital is an external source of finance **D** – is not the correct answer as Venture capital is an external source of finance	**(1)**

Question Number	Define the term **job description.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job description.** • It shows the tasks, duties, roles and responsibilities for a named job **(1)**	**(1)**

Type MS · Multinationals and globalisation

Answer 12 of 12 · Question 1 part g · 6 marks

2024 NOV · Paper 02 · extract 4 of 8 · find part g in this mark scheme extract

Question Number	Define the term **public corporation.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **public corporation.** • A business owned and controlled by a state/government **(1)**	**(1)**

Question Number	State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why a *Premier Inn* managers would delegate tasks to hotel employees in the context of the business. • By delegating a task, the manager gains time to carry out other tasks such as greeting guests on arrival **(1)** • Employees may feel more motivated if they are trusted with additional jobs such as restocking the vending machines in public areas of the hotel **(1)** **NB** Do not accept a reason that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Type MS · Multinationals and globalisation

Answer 12 of 12 · Question 1 part g · 6 marks

2024 NOV · Paper 02 · extract 5 of 8 · find part g in this mark scheme extract

Question Number	Calculate, to two decimal places, the price for the first night after the discount has been applied. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 78.09 (2) **Or** 1 mark for workings if final answer incorrect 89.25 x 0.125 = 11.16**(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Multinationals and globalisation

Answer 12 of 12 · Question 1 part g · 6 marks

2024 NOV · Paper 02 · extract 6 of 8 · find part g in this mark scheme extract

Question Number	Explain **one** advantage of using focus groups when carrying out market research. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of using focus groups when carrying out market research, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By using focus groups researchers can talk directly to the people in the group **(1)** this means that they may get a more truthful answer **(1)** which may allow researchers to gain in-depth insights into consumers' thought, feelings and motivations **(1)** • Focus groups allow a variety of people to discuss the research being carried out **(1)** detailed notes of the discussion can be taken **(1)** which can then be used and analysed at a later date **(1)** **NB** No marks are awarded for a definition. Answers that list two advantages with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Multinationals and globalisation

Answer 12 of 12 · Question 1 part g · 6 marks

2024 NOV · Paper 02 · extract 7 of 8 · find part g in this mark scheme extract

Question Number	Analyse the benefits for India of these plans. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Building more hotels in India will provide greater job opportunities for the local population • The hotels will need employees with different skills such as chefs and waiters **AO3** • It will improve the overall Indian economy from increased taxes/revenue • It could reduce unemployment where the new hotels are built	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Multinationals and globalisation

Answer 12 of 12 · Question 1 part g · 6 marks

2024 NOV · Paper 02 · extract 8 of 8 · find part g in this mark scheme extract

Question Number	State **one** activity carried out by the marketing functional area at *Premier Inn*. **Answer**	**Mark**